HW4

Sam Olson

Q1

Let $\underline{x}$ be an $n \times 1$ random vector with mean vector $\underline{\mu}$ and variance-covariance matrix Σ. Use Theorem 3.1 to show that $\underline{x}$ has a multivariate normal distribution if and only if, for every $n \times 1$ vector of constants $\underline{a}$, $\underline{a}'\underline{x}$ has a (univariate) normal distribution.

Answer

We utilize the following results:

- Theorem 3.1: if the mgf's of two random vectors exist and are equal for all $\underline{t}$ in an open rectangle that includes the origin, then their cdf's are identical.
- Definition (n-variate normal of rank k): with $\operatorname{rank}(\Sigma) = k \geq 1$, $\underline{x} \sim N(\underline{\mu}, \Sigma)$ if the cdf of $\underline{x}$ is the same as that of $\underline{\mu} + \Gamma'\underline{z}$, where Γ is a $k \times n$ matrix with $\Sigma = \Gamma'\Gamma$ (such a Γ exists by Lemma 2.15) and $\underline{z} \sim N(\underline{0}_k, I_k)$ is k-variate standard normal.
- mgf of $N(\underline{\mu}, \Sigma)$ (Section 3.1): $M_{\underline{x}}(\underline{t}) = \exp\left(\underline{t}'\underline{\mu} + \frac{1}{2}\underline{t}'\Sigma\underline{t}\right)$, $\underline{t} \in \mathbb{R}^n$; in particular, $N(m, v)$ has mgf $\exp\left(tm + \frac{1}{2}t^2 v\right)$, $t \in \mathbb{R}$.
- Corollary to Lemma 2.4: $\operatorname{Var}(L'\underline{x}) = L'\Sigma L$, where $\Sigma = \operatorname{Var}(\underline{x})$.

Proof: For any $\underline{a} \in \mathbb{R}^n$ and $t \in \mathbb{R}$,

$$M_{\underline{a}'\underline{x}}(t) = \mathrm{E}\left[\exp(t\underline{a}'\underline{x})\right] = \mathrm{E}\left[\exp\left((t\underline{a})'\underline{x}\right)\right] = M_{\underline{x}}(t\underline{a}), \tag{Q1}$$

whenever either side exists.

($\Rightarrow$) Suppose $\underline{x} \sim N(\underline{\mu}, \Sigma)$, and let $\underline{a} \in \mathbb{R}^n$ be given. By (Q1) and the mgf of $\underline{x}$, $M_{\underline{a}'\underline{x}}(t) = \exp\left(t\underline{a}'\underline{\mu} + \frac{1}{2}t^2\underline{a}'\Sigma\underline{a}\right)$ for every $t \in \mathbb{R}$, which is the mgf of $N(\underline{a}'\underline{\mu}, \underline{a}'\Sigma\underline{a})$. By Theorem 3.1, $\underline{a}'\underline{x} \sim N(\underline{a}'\underline{\mu}, \underline{a}'\Sigma\underline{a})$; since $\underline{a}$ was arbitrary, every $\underline{a}'\underline{x}$ is normal.

($\Leftarrow$) Suppose $\underline{a}'\underline{x}$ is normal for every $\underline{a} \in \mathbb{R}^n$, and let $\underline{t} \in \mathbb{R}^n$ be given. Since $\mathrm{E}(\underline{t}'\underline{x}) = \underline{t}'\underline{\mu}$ and $\operatorname{Var}(\underline{t}'\underline{x}) = \underline{t}'\Sigma\underline{t}$ (Corollary to Lemma 2.4), $\underline{t}'\underline{x} \sim N(\underline{t}'\underline{\mu}, \underline{t}'\Sigma\underline{t})$, so (Q1) with $t = 1$ gives

$$M_{\underline{x}}(\underline{t}) = M_{\underline{t}'\underline{x}}(1) = \exp\left(\underline{t}'\underline{\mu} + \frac{1}{2}\underline{t}'\Sigma\underline{t}\right).$$

Since $\underline{t}$ was arbitrary, $M_{\underline{x}}$ exists on all of $\mathbb{R}^n$, where it agrees with the mgf of $\underline{\mu} + \Gamma'\underline{z} \sim N(\underline{\mu}, \Sigma)$ (Γ and $\underline{z}$ as in the definition). By Theorem 3.1, $\underline{x}$ has the same cdf as $\underline{\mu} + \Gamma'\underline{z}$; that is, $\underline{x} \sim N(\underline{\mu}, \Sigma)$.

Q2

Let $\underline{x} \sim N(\underline{\mu}, \Sigma)$. Show that

$$\operatorname{cov}(\underline{x}'A\underline{x}, \underline{x}'B\underline{x}) = 2\operatorname{tr}(A\Sigma B\Sigma) + 4\underline{\mu}'A\Sigma B\underline{\mu},$$

where A and B are symmetric matrices of constants. [Hint: For any random variables w and z, $\operatorname{Var}(w+z) = \operatorname{Var}(w) + \operatorname{Var}(z) + 2\operatorname{cov}(w, z)$.]

Answer

We utilize the following results:

- Variance of a quadratic form (Section 3.2): if $\underline{x} \sim N(\underline{\mu}, \Sigma)$ and C is a symmetric matrix of constants, then $\text{Var}(\underline{x}'C\underline{x}) = 2\,\text{tr}\left[(C\Sigma)^2\right] + 4\underline{\mu}'C\Sigma C\underline{\mu}$.

Proof: Following the hint, write $w \equiv \underline{x}'A\underline{x}$ and $z \equiv \underline{x}'B\underline{x}$, so that $w+z = \underline{x}'(A+B)\underline{x}$ with $A+B$ symmetric. The Section 3.2 result with $C = A + B$, and then with $C = A$ and $C = B$, gives

$$\begin{aligned}\text{Var}(w+z) &= 2\,\text{tr}\left[(A\Sigma + B\Sigma)^2\right] + 4\underline{\mu}'(A+B)\Sigma(A+B)\underline{\mu} \\ &= \text{Var}(w) + \text{Var}(z) + 2\left[\text{tr}(A\Sigma B\Sigma) + \text{tr}(B\Sigma A\Sigma)\right] + 4\left(\underline{\mu}'A\Sigma B\underline{\mu} + \underline{\mu}'B\Sigma A\underline{\mu}\right) \\ &= \text{Var}(w) + \text{Var}(z) + 4\,\text{tr}(A\Sigma B\Sigma) + 8\underline{\mu}'A\Sigma B\underline{\mu},\end{aligned}$$

where the last step uses $\text{tr}(B\Sigma A\Sigma) = \text{tr}(A\Sigma B\Sigma)$ (cyclic property of the trace) and $\underline{\mu}'B\Sigma A\underline{\mu} = (\underline{\mu}'B\Sigma A\underline{\mu})' = \underline{\mu}'A\Sigma B\underline{\mu}$ (as A, B, and Σ are symmetric). Comparing with the hint, $2\,\text{cov}(w,z) = 4\,\text{tr}(A\Sigma B\Sigma) + 8\underline{\mu}'A\Sigma B\underline{\mu}$; that is,

$$\text{cov}(\underline{x}'A\underline{x}, \underline{x}'B\underline{x}) = 2\,\text{tr}(A\Sigma B\Sigma) + 4\underline{\mu}'A\Sigma B\underline{\mu}. \tag{Q2}$$

Q3

Let $\underline{x} \sim N(\underline{\mu}, \Sigma)$, where $\underline{x}$ is an $n \times 1$ vector and $\text{rank}(\Sigma) \geq 1$. Let

$$w_1 = \underline{b}_1'\underline{x} + \underline{x}'A_1\underline{x} \quad \text{and} \quad w_2 = \underline{b}_2'\underline{x} + \underline{x}'A_2\underline{x},$$

where $\underline{b}_1$ and $\underline{b}_2$ are vectors of constants and A_1 and A_2 are symmetric matrices of constants. Let

$$\underline{c}_1 = \underline{b}_1 + 2A_1\underline{\mu} \quad \text{and} \quad \underline{c}_2 = \underline{b}_2 + 2A_2\underline{\mu}.$$

We utilize the following results for (a)–(b):

- Lemma 2.4: if L and M are matrices of constants having the same number of rows as $\underline{x}$ has elements, then $\text{cov}(L'\underline{x}, M'\underline{x}) = L'\Sigma M$, where $\Sigma = \text{Var}(\underline{x})$.
- Corollary to Theorem 3.7: if $\underline{x} \sim N(\underline{\mu}, \Sigma)$ and B_1, B_2 are matrices of constants with n columns, then $B_1\underline{x}$ and $B_2\underline{x}$ are independent if and only if $B_1\Sigma B_2' = 0$.
- Definition of a generalized inverse: $A_iA_i^-A_i = A_i$.
- Continuous functions of independent random vectors are independent.

(a)

Find

$$\text{cov}\left(\begin{pmatrix}\underline{b}_1' \\ A_1\end{pmatrix}\underline{x}, \begin{pmatrix}\underline{b}_2' \\ A_2\end{pmatrix}\underline{x}\right).$$

Answer

$$\text{cov}\left(\begin{pmatrix}\underline{b}_1' \\ A_1\end{pmatrix}\underline{x}, \begin{pmatrix}\underline{b}_2' \\ A_2\end{pmatrix}\underline{x}\right) = \begin{pmatrix}\underline{b}_1'\Sigma\underline{b}_2 & \underline{b}_1'\Sigma A_2 \\ A_1\Sigma\underline{b}_2 & A_1\Sigma A_2\end{pmatrix}. \tag{Q3 (a)}$$

For $i = 1, 2$, write $B_i \equiv \begin{pmatrix}\underline{b}_i' \\ A_i\end{pmatrix}$, an $(n+1) \times n$ matrix. Lemma 2.4, with $L = B_1'$ and $M = B_2'$, gives $\text{cov}(B_1\underline{x}, B_2\underline{x}) = B_1\Sigma B_2'$, where $B_2' = (\underline{b}_2, A_2)$ as A_2 is symmetric; multiplying out blockwise gives (Q3 (a)).

(b)

Suppose that (i) $\underline{b}_1'\Sigma\underline{b}_2 = 0$, (ii) $\underline{b}_1'\Sigma A_2 = \underline{0}'$, (iii) $\underline{b}_2'\Sigma A_1 = \underline{0}'$, and (iv) $A_1\Sigma A_2 = 0$. Use (a) to show that w_1 and w_2 are independent. [Hint: Note that $w_i = \underline{b}_i'\underline{x} + (A_i\underline{x})'A_i^-(A_i\underline{x})$ for $i = 1, 2$.]

Answer

Proof: Let B_i be as in (a), and let $\underline{u}_i \equiv B_i\underline{x} = \begin{pmatrix} \underline{b}_i'\underline{x} \\ A_i\underline{x} \end{pmatrix}$ for $i = 1, 2$. By (a), $B_1\Sigma B_2' = \mathrm{cov}(\underline{u}_1, \underline{u}_2)$ is the matrix in (Q3 (a)), whose blocks all vanish: $\underline{b}_1'\Sigma\underline{b}_2 = 0$ by (i), $\underline{b}_1'\Sigma A_2 = \underline{0}_n'$ by (ii), $A_1\Sigma\underline{b}_2 = (\underline{b}_2'\Sigma A_1)' = \underline{0}_n$ by (iii) (as A_1 and Σ are symmetric), and $A_1\Sigma A_2 = 0$ by (iv). So $B_1\Sigma B_2' = 0$, and by the Corollary to Theorem 3.7, $\underline{u}_1$ and $\underline{u}_2$ are independent.

It then suffices to show that each w_i is a continuous function of $\underline{u}_i$. Since $A_iA_i^-A_i = A_i$ and $A_i' = A_i$,

$$\underline{x}'A_i\underline{x} = \underline{x}'A_iA_i^-A_i\underline{x} = (A_i\underline{x})'A_i^-(A_i\underline{x}),$$

which is the hint. So $w_i = g_i(\underline{u}_i)$, where $g_i(s, \underline{v}) \equiv s + \underline{v}'A_i^-\underline{v}$ ($s \in \mathbb{R}$, $\underline{v} \in \mathbb{R}^n$) is continuous, and hence w_1 and w_2 are independent.

Q4

Take the model to be Model II and assume that $\underline{y}$ has a multivariate normal distribution.

We utilize the following results for (a)–(b):

- Corollary to Theorem 2.5 and the Note following Theorem 2.6: for any solution $\widehat{\underline{\beta}}$ to the normal equations, $X\widehat{\underline{\beta}} = P_X\underline{y}$, so $\underline{y} - X\widehat{\underline{\beta}} = (I_n - P_X)\underline{y}$.
- Lemmas 2.6–2.7 and property (4) of P_X: $I_n - P_X$ is symmetric and idempotent of rank $n - p^*$, and $(I_n - P_X)X = 0$.
- Corollary to Lemma 2.5: if F is idempotent, then $\mathrm{tr}(F) = \mathrm{rank}(F)$.
- Lemma 2.8: if $\mathrm{E}(\underline{x}) = \underline{\mu}$ and $\mathrm{Var}(\underline{x}) = \Sigma$, then $\mathrm{E}(\underline{x}'C\underline{x}) = \mathrm{tr}(C\Sigma) + \underline{\mu}'C\underline{\mu}$.
- Variance of a quadratic form (Section 3.2; stated in Q2).

Note: Under Model II with $\underline{y}$ multivariate normal, $\underline{y} \sim N(X\underline{\beta}, \sigma^2 I_n)$, where X is $n \times p$ with $p^* = \mathrm{rank}(X)$; as in Section 2.8, we take $n > p^*$. Write $\widetilde{\sigma}_k^2 \equiv (1/k)\underline{y}'(\underline{y} - X\widehat{\underline{\beta}})$.

(a)

Obtain the expectation, the variance, and the mean squared error for any estimator of σ^2 having the form $(1/k)\underline{y}'(\underline{y} - X\widehat{\underline{\beta}})$, where k is a nonzero constant, and $\widehat{\underline{\beta}}$ is any solution to the normal equations.

Answer

For every nonzero k,

$$\begin{aligned} \mathrm{E}(\widetilde{\sigma}_k^2) &= \frac{(n-p^*)\sigma^2}{k}, \qquad \mathrm{Var}(\widetilde{\sigma}_k^2) = \frac{2(n-p^*)\sigma^4}{k^2}, \\ \mathrm{MSE}(\widetilde{\sigma}_k^2) &= \frac{\sigma^4}{k^2}\left[2(n-p^*) + (n-p^*-k)^2\right]. \end{aligned} \tag{Q4 (a)}$$

By the first result, $\widetilde{\sigma}_k^2 = (1/k)\underline{y}'(I_n - P_X)\underline{y}$ for every solution $\widehat{\underline{\beta}}$. We apply Lemma 2.8 and the Section 3.2 result with $C = I_n - P_X$, $\underline{\mu} = X\underline{\beta}$, and $\Sigma = \sigma^2 I_n$: the terms in $X\underline{\beta}$ vanish as $(I_n - P_X)X = 0$, and $(I_n - P_X)^2 = I_n - P_X$ has trace $n - p^*$ (Corollary to Lemma 2.5), so

$$\mathrm{E}\left[\underline{y}'(I_n - P_X)\underline{y}\right] = \sigma^2\,\mathrm{tr}(I_n - P_X) = (n-p^*)\sigma^2, \qquad \mathrm{Var}\left[\underline{y}'(I_n - P_X)\underline{y}\right] = 2\sigma^4\,\mathrm{tr}\left[(I_n - P_X)^2\right] = 2(n-p^*)\sigma^4.$$

Dividing by k and k^2, resp., gives the expectation and variance in (Q4 (a)), and the MSE is

$$\mathrm{Var}(\widetilde{\sigma}_k^2) + \left[\mathrm{E}(\widetilde{\sigma}_k^2) - \sigma^2\right]^2 = \frac{2(n-p^*)\sigma^4}{k^2} + \left[\frac{(n-p^*-k)\sigma^2}{k}\right]^2.$$

(b)

Of those estimators of σ^2 having the above form, which has the smallest mean squared error? (That is, determine the optimum value of k.)

Answer

$k = n - p^* + 2$; that is, $\underline{y}'(\underline{y} - X\widehat{\underline{\beta}})/(n - p^* + 2)$ has the smallest MSE.

Write $m \equiv n - p^* \geq 1$ and $v \equiv 1/k$, which ranges over the nonzero reals as k does. By (Q4 (a)),

$$\frac{\mathrm{MSE}(\widetilde{\sigma}_k^2)}{\sigma^4} = 2mv^2 + (mv - 1)^2 = m(m+2)v^2 - 2mv + 1,$$

a strictly convex quadratic in v (as $m(m+2) > 0$), uniquely minimized where its derivative $2m(m+2)v - 2m$ vanishes, at $v = 1/(m+2) \neq 0$. Hence the optimum is $k = m + 2 = n - p^* + 2$.

Q5

Let $\underline{x} \sim N(\underline{\mu}, \Sigma)$, where $\underline{x}$ is an $r \times 1$ vector and $\mathrm{rank}(\Sigma) = k \geq 1$ (where possibly $k < r$). Let A be an $r \times r$ symmetric matrix. Show that, if $A\Sigma$ is idempotent of rank s and if in addition $\underline{\mu}$ lies in $\mathcal{C}(\Sigma)$, then $\underline{x}'A\underline{x} \sim \chi^2\left(s, \frac{1}{2}\underline{\mu}'A\underline{\mu}\right)$. (Hint: Let Γ be a $k \times r$ matrix such that $\Sigma = \Gamma'\Gamma$, and show that $A\Sigma$ is idempotent of rank $s \implies \Gamma A\Gamma'$ is idempotent of rank s. Then, use $\underline{x}$ has the same distribution as $\Gamma'(\underline{z} + \underline{a})$, where $\underline{z}$ is a standard normal vector and $\underline{a}$ is a certain vector of constants.)

Answer

We utilize the following results:

- Definition of $N(\underline{\mu}, \Sigma)$ (stated in Q1).
- Lemma 1.3(i): for any matrix X, $PX'X = QX'X$ implies $PX' = QX'$.
- Corollary to Lemma 2.5 (stated in Q4).
- Theorem 3.5: if $\underline{x} \sim N(\underline{\mu}, \Sigma)$, then $B\underline{x} + \underline{b} \sim N(B\underline{\mu} + \underline{b}, B\Sigma B')$.
- Theorem 3.16 (with $\Sigma = I$): if $\underline{v} \sim N(\underline{a}, I_k)$ and M is a $k \times k$ symmetric matrix of constants that is idempotent of rank $s \geq 1$, then $\underline{v}'M\underline{v} \sim \chi^2\left(s, \frac{1}{2}\underline{a}'M\underline{a}\right)$.

Note: We take $s \geq 1$, as in Theorem 3.16.

Proof: Following the hint, we have two goals: (1) $\Gamma A\Gamma'$ is idempotent of rank s, and (2) $\underline{x}'A\underline{x}$ has the same distribution as $\underline{v}'(\Gamma A\Gamma')\underline{v}$ for some $\underline{v} \sim N(\underline{a}, I_k)$ with $\underline{a}'\Gamma A\Gamma'\underline{a} = \underline{\mu}'A\underline{\mu}$.

(1) $\Gamma A\Gamma'$ is idempotent of rank s: Since $A\Sigma$ is idempotent, $(A\Sigma A)\Gamma'\Gamma = (A\Sigma)^2 = A\Sigma = A\Gamma'\Gamma$, so Lemma 1.3(i), with Γ in the role of X, gives $A\Sigma A\Gamma' = A\Gamma'$. Premultiplying by Γ, $(\Gamma A\Gamma')^2 = \Gamma A\Sigma A\Gamma' = \Gamma A\Gamma'$, so the symmetric matrix $\Gamma A\Gamma'$ is idempotent. By the Corollary to Lemma 2.5 (twice) and the cyclic property of the trace,

$$\mathrm{rank}(\Gamma A\Gamma') = \mathrm{tr}(\Gamma A\Gamma') = \mathrm{tr}(A\Gamma'\Gamma) = \mathrm{tr}(A\Sigma) = \mathrm{rank}(A\Sigma) = s.$$

(2) The representation: Since $\underline{\mu} \in \mathcal{C}(\Sigma)$, $\underline{\mu} = \Sigma\underline{d} = \Gamma'\underline{a}$ for some $\underline{d} \in \mathbb{R}^r$, where $\underline{a} \equiv \Gamma\underline{d}$. By the definition, $\underline{x}$ has the same cdf as $\underline{\mu} + \Gamma'\underline{z} = \Gamma'(\underline{z} + \underline{a})$, where $\underline{z} \sim N(\underline{0}_k, I_k)$, and $\underline{v} \equiv \underline{z} + \underline{a} \sim N(\underline{a}, I_k)$ by Theorem 3.5. Hence $\underline{x}'A\underline{x}$ has the same distribution as $(\Gamma'\underline{v})'A(\Gamma'\underline{v}) = \underline{v}'(\Gamma A\Gamma')\underline{v}$, and $\underline{a}'\Gamma A\Gamma'\underline{a} = (\Gamma'\underline{a})'A(\Gamma'\underline{a}) = \underline{\mu}'A\underline{\mu}$.

Combining (1)–(2), Theorem 3.16 applied to $\underline{v}$ and $\Gamma A\Gamma'$ gives

$$\underline{x}'A\underline{x} \sim \chi^2\left(s, \frac{1}{2}\underline{a}'\Gamma A\Gamma'\underline{a}\right) = \chi^2\left(s, \frac{1}{2}\underline{\mu}'A\underline{\mu}\right).$$

Q6

Let $\underline{x} \sim N(\underline{0}, I)$, and take A and B to be two symmetric matrices such that $\underline{x}'A\underline{x} \sim \chi^2(p)$ and $\underline{x}'B\underline{x} \sim \chi^2(q)$, where $p > q$. Show, by completing the following three steps, that $\underline{x}'(A-B)\underline{x} \sim \chi^2(p-q)$ if and only if the correlation $\text{corr}(\underline{x}'A\underline{x}, \underline{x}'B\underline{x}) = q/\sqrt{pq}$.

We utilize the following results for (a)–(c):

- (Q2), which here ($\underline{\mu} = \underline{0}_n$, $\Sigma = I_n$) reads $\text{cov}(\underline{x}'A\underline{x}, \underline{x}'B\underline{x}) = 2\,\text{tr}(AB)$.
- Section 3.3: if $u \sim \chi^2(m, \lambda)$, then $\text{Var}(u) = 2(m + 4\lambda)$.
- Theorem 3.16 (stated in Q5) and its converse: if $\underline{v}'M\underline{v} \sim \chi^2(s, \lambda)$ for some λ, then M is idempotent of rank s.
- Corollary to Lemma 2.5 (stated in Q4).
- Lemma 1.2: for any matrix X, $\text{tr}(X'X) = 0$ implies $X = 0$.
- Lemma 3.6: if F, G, and $F + G$ are all idempotent, then $FG = 0$.

Note: Let n denote the length of $\underline{x}$. By the converse in Theorem 3.16, A and B are idempotent of ranks p and q, resp., so $\text{tr}(A) = p$ and $\text{tr}(B) = q$ (Corollary to Lemma 2.5), $I_n - A$ is symmetric and idempotent, and $p - q \geq 1$ (as $p > q$ are integers).

(a)

Show that $\text{tr}[(I-A)B] = 0$ if and only if $\text{corr}(\underline{x}'A\underline{x}, \underline{x}'B\underline{x}) = q/\sqrt{pq}$. [Hint: Consider $\text{cov}(\underline{x}'(A-B)\underline{x} + \underline{x}'B\underline{x}, \underline{x}'B\underline{x})$]

Answer

Proof: By (Q2) and $\text{tr}(B) = q$,

$$\text{cov}(\underline{x}'A\underline{x}, \underline{x}'B\underline{x}) = 2\,\text{tr}(AB) = 2\,\text{tr}(B) - 2\,\text{tr}[(I_n - A)B] = 2q - 2\,\text{tr}[(I_n - A)B],$$

while $\text{Var}(\underline{x}'A\underline{x}) = 2p$ and $\text{Var}(\underline{x}'B\underline{x}) = 2q$ (Section 3.3 with $\lambda = 0$). Hence

$$\text{corr}(\underline{x}'A\underline{x}, \underline{x}'B\underline{x}) = \frac{2q - 2\,\text{tr}[(I_n - A)B]}{\sqrt{2p \cdot 2q}} = \frac{q - \text{tr}[(I_n - A)B]}{\sqrt{pq}},$$

which equals $q/\sqrt{pq}$ if and only if $\text{tr}[(I_n - A)B] = 0$.

(b)

Show that $(I-A)B = 0$ if and only if $\text{tr}[(I-A)B] = 0$.

Answer

Proof: ($\Rightarrow$) If $(I_n - A)B = 0$, then $\text{tr}[(I_n - A)B] = \text{tr}(0) = 0$.

($\Leftarrow$) Write $M \equiv B(I_n - A)$, so that $M' = (I_n - A)B$. Since $(I_n - A)^2 = I_n - A$ and $B^2 = B$, the cyclic property of the trace gives

$$\text{tr}[(I_n - A)B] = \text{tr}[(I_n - A)(I_n - A)BB] = \text{tr}[(I_n - A)BB(I_n - A)] = \text{tr}(M'M).$$

So if $\text{tr}[(I_n - A)B] = 0$, then Lemma 1.2 gives $M = 0$, and hence $(I_n - A)B = M' = 0$.

(c)

Show that $\underline{x}'(A-B)\underline{x} \sim \chi^2(p-q)$ if and only if $(I-A)B = 0$.

Answer

Proof: Since $A - B$ is symmetric and $p - q \geq 1$, Theorem 3.16 and its converse give $\underline{x}'(A - B)\underline{x} \sim \chi^2(p - q)$ if and only if $A - B$ is idempotent of rank $p - q$ (the noncentrality is 0, as $\underline{\mu} = \underline{0}_n$). It then suffices to show that $A - B$ is idempotent of rank $p - q$ if and only if $(I_n - A)B = 0$.

($\Rightarrow$) If $A - B$ is idempotent, then $A - B$, B, and $(A - B) + B = A$ are all idempotent, so Lemma 3.6 gives $(A - B)B = AB - B = 0$; that is, $(I_n - A)B = 0$.

($\Leftarrow$) If $(I_n - A)B = 0$, then $AB = B$, and transposing, $BA = B$. Hence

$$(A - B)^2 = A^2 - AB - BA + B^2 = A - B - B + B = A - B,$$

so $A - B$ is idempotent, of rank $\text{tr}(A - B) = p - q$ (Corollary to Lemma 2.5).

Combining (a)–(c),

$$\underline{x}'(A - B)\underline{x} \sim \chi^2(p - q) \overset{\text{(c)}}{\iff} (I_n - A)B = 0 \overset{\text{(b)}}{\iff} \text{tr}[(I_n - A)B] = 0 \overset{\text{(a)}}{\iff} \text{corr}(\underline{x}'A\underline{x}, \underline{x}'B\underline{x}) = \frac{q}{\sqrt{pq}}.$$